



Market Debunk

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RBI's Deadly *Dollar Deluge*

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SWIPE



Inflows Mask

Fragile Valuations

Retail investors mistake foreign inflows for guaranteed corporate growth. In reality, when the RBI buys excess forex to stop Rupee appreciation, it floods domestic banks with unearned Rupee liquidity. This creates an **artificial liquidity bubble** while fundamental earnings stagnate.



The Cost *Of Forex* Sterilization

To mop up surplus domestic Rupees, the central bank issues bonds via sterilization operations. This quiet extraction absorbs bank liquidity, inflates central bank balance sheet costs, and compresses commercial bank net interest margins, shifting systemic risk directly onto **retail equity valuations**.



Distorting Money

Market Yields

As massive foreign funds flow into domestic equities, money market rates diverge from fundamental economic growth. Institutional players exploit this liquidity glut to exit overvalued high-beta stocks, using retail buying pressure as **institutional exit liquidity** before yields reprice.



Quantifying Bank *Margin Drag*

When RBI sterilization costs rise, bank deposit rates adjust upward, driving funding costs higher. A **200 bps divergence** between central bank liquidity injections and actual credit expansion drags corporate earnings growth down by **3.5% annually**, compounding silent real-return erosion.



Liquidity Isn't *Organic Growth*

Never confuse central-bank liquidity expansion with true organic corporate earnings growth. When FX liquidity mop-ups distort money market rates, immediately trim **high-beta equity exposure** by **15-20%** to shield principal from macro margin compression.



The 3-Metric *Liquidity Audit*

Audit three metrics before allocating capital: 1. **Net FX Intervention Volume** vs bank liquidity. 2. **Money market yield spreads** relative to benchmark repo rates. 3. **High-beta valuation multiples** against trailing earnings growth. Verify all three to prevent capital traps.



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